

Employing in Costa Rica

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Costa Rican Labour Code
- **Monthly payroll** — salary payments in CRC, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted to Hacienda
- **CCSS** — the Caja Costarricense de Seguro Social contribution stack
- **Leave and termination management** — Aguinaldo, notice periods and cesantía guidance

Employment Conditions

Contracts & Probation

Costa Rica has the highest minimum wages in Central America and is generally regarded as the "safe choice" market in the region — strong labour protections and a well-established compliance framework, rather than the lowest-cost option.

Item	Detail	Legal Basis
Probation period	Typically 3 months by custom (Labour Code does not exclude any period from termination protections, but 3 months is standard practice)	Employer discretion / custom
Employment relationship test	Based on subordination in practice, not contract labels — misclassified contractors can be reclassified as employees	Labour Code
Telework	Regulated under Law 9738 and Decree 42083, with the same minimum wage rules as in-person work	Law 9738

Minimum Wage & CCSS Contributions (2026)

Measure	Rate	Notes
Minimum wage (unskilled generic worker)	~CRC 373,092/month (~USD \$730)	Effective 1 January 2026, +1.63% (lowest increase in 4 years, reflecting low inflation)
Minimum wage (university licentiate)	~USD \$1,620/month	Highest professional category minimum in Central America
Employer CCSS contribution	26.83% of gross salary	Up from 26.67% in 2025; IVM (pension) employer share rose to 5.58% as part of this total
Employee IVM contribution	4.33% of gross salary	Up from 4.17% in 2025

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	2 weeks/year (after 50 weeks of continuous service)	Employer	Labour Code minimum
Aguinaldo (13th month)	1/12 of all salary-nature payments earned Dec–Nov, paid 1–20 December	Employer	Law 2412 — no exceptions for small employers or probationary employees
Sick Leave	Employer pays first 3 days at 50%, CCSS pays from day 4 (with 3+ months' contribution)	Employer (3 days) + CCSS	Labour Code / CCSS regulations

★ HERO TIP

Costa Rica's Aguinaldo has zero exceptions — it applies from an employee's very first day, prorated for partial years, with no waiver for small employers or probationary staff, and the 20 December deadline is strictly enforced by MTSS. Build the accrual into every Costa Rica payroll cycle from month one rather than treating it as a year-end calculation.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer CCSS contribution (26.83%)	\$804.90	26.83%
Aguinaldo accrual (1/12)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,654.90	~155.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Total Costa Rican employer cost typically runs around 39% above base salary once CCSS, Aguinaldo and vacation are included. Employee deductions (withheld separately) include CCSS employee share (~10.5% combined) and progressive income tax under Hacienda's 2026 tables.

Termination & Separation

Costa Rica requires notice (preaviso) scaling from 1 week (3–6 months' service) to 1 month (1+ year), plus cesantía (severance) calculated on length of service, capped at 8 years' worth of severance regardless of actual tenure. Both are calculated on the employee's most recent monthly salary.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
11 April	Juan Santamaría Day	National
3 April	Good Friday	National
1 May	Labour Day	National
25 July	Annexation of Guanacaste	National
2 August	Our Lady of the Angels	National
15 August	Mother's Day	National
15 September	Independence Day	National
25 December	Christmas Day	National

Ready to hire in Costa Rica?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Costa Rica employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).